

Document	OPS-07 Customer Claims & Damaged Goods Procedure
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Customer Claims & Damaged Goods Procedure

1. Purpose and scope

Even with careful loading and driving, goods sometimes arrive damaged, short or not at all. How we deal with it matters as much as the incident itself. A claim that is handled quickly, fairly and with clear evidence often keeps a customer who would otherwise leave. This procedure sets out what drivers, depots and the Customer Service team do, the time limits customers must meet and who can agree to pay.

1.1 Who this applies to

This procedure applies to drivers, depot and warehouse staff, the Customer Service team and any manager asked to approve a payment. It covers all consignments we carry under our standard terms of carriage. Where a customer has a signed contract with different terms, the contract takes priority, and Customer Service will check it before replying.

1.2 Key terms

- **Consignment:** the goods collected from one sender for one delivery address under one delivery reference.
- **Proof of delivery (POD):** the electronic record on the driver's handheld, including photos, the time and the customer's signature.
- **Concealed damage:** damage that could not reasonably be seen at delivery, for example inside an undamaged carton.
- **Claim:** a written request from a customer for payment for goods lost, damaged or delivered short.

2. At the point of delivery

2.1 Photos before handover

Before handing over any consignment, the driver takes at least 3 photos on the handheld: one of the whole consignment, one showing the labels and one close-up of any wrapping or corner that looks damaged. If everything looks fine, the third photo shows the pallet or goods from a second side. The photos are saved to the POD automatically and cannot be deleted by the driver.

2.2 Damage noticed at delivery

If the driver or the customer notices damage or a shortage at delivery, the driver records it on the handheld by selecting "received damaged" or "received short" and typing a short description, such as

"2 cartons crushed, top layer". The customer then signs on the handheld. Drivers must never ask a customer to sign for goods as undamaged when they can see damage. Report the damage to the Transport Planning Office before leaving the site.

2.3 Refused deliveries

A customer may refuse goods that are badly damaged. In that case the driver photographs the goods, records the refusal on the handheld and brings them back to the depot. The driver must tell Customer Service before the end of the shift so that the sender can be contacted the same day.

3. Time limits for customers

3.1 Telling us about a problem

Customers must tell us in writing about damage or a shortage within 7 days of delivery. This includes concealed damage found when goods are unpacked. For goods that were lost or never delivered, customers must tell us within 28 days of the date we collected the consignment. Notice can be given by email to claims@tallowby.example or through the customer portal.

3.2 Submitting the full claim

After giving notice, the customer has 21 days to send the full claim. It must include the delivery reference, a description of the loss, photos of any damage, the invoice value of the goods and the gross weight of the damaged or missing items. Customer Service will send the claim form OPS-C1 to help customers include everything.

3.3 Late claims

Claims outside these time limits are normally rejected. The Customer Service Manager may accept a late claim where there is a good reason, for example goods held unopened in a customer's store for a longer period by prior agreement. Every late claim that is accepted must be recorded with the reason.

4. Our liability

4.1 Standard limit

Under our standard terms, our liability for loss or damage is limited to £1.50 per kilogram of the gross weight of the goods that were lost or damaged. This is the same as £1,500 per tonne. The limit is based on the weight of the affected items only, not the whole consignment. For example, if 40 kg of a 500 kg pallet is damaged, the most we would pay under the standard limit is £60, even if the goods are worth more.

4.2 Higher cover

Customers who carry high-value goods can ask for a higher limit. They must declare the value in writing before we collect the goods and agree a surcharge with the Sales team. If no higher value was agreed before collection, the standard limit applies.

4.3 What we do not pay for

We do not pay for:

- indirect losses, such as lost profit, missed sales or penalties the customer pays to their own customers;
- damage caused by poor or unsuitable packaging provided by the sender;

- natural deterioration of perishable goods where we met the agreed delivery time;
- shortages where the consignment arrived with its wrapping and seals intact and the customer signed without comment.

5. Handling a claim

5.1 Logging and acknowledging

Customer Service logs every notice of a claim in the claims log within 1 working day and gives it a reference starting with CLM. The customer receives an acknowledgement with the reference and a copy of form OPS-C1 within 2 working days of first contacting us.

5.2 Gathering evidence

Customer Service asks the depot that made the delivery for the POD photos, the handheld record, a short statement from the driver and, where useful, in-cab camera footage. The depot manager must send this within 5 working days. If goods were damaged in our warehouse, the Warehouse Manager also provides a statement.

5.3 Deciding the claim

We aim to give the customer a written decision within 30 days of receiving the full claim. If we need longer, for example because an insurer is involved, Customer Service updates the customer at least every 10 working days. The decision letter explains how the amount was worked out, including the standard limit where it applies.

6. Who can approve payments

6.1 Approval limits

The person who agrees a payment must have authority for the full amount of the claim:

- up to £250: a Customer Service Advisor;
- over £250 and up to £2,500: the Customer Service Manager;
- over £2,500 and up to £10,000: the Head of Operations;
- over £10,000: the Finance Director.

Any claim over £5,000 is also reported to our insurer by the Finance team before a decision is given. Claims must not be split into smaller amounts to fit under a lower limit.

6.2 Goodwill gestures

Sometimes we are not liable but want to keep a good relationship with a customer. The Customer Service Manager can offer a goodwill credit of up to £100 per claim. Anything larger needs the Head of Operations. Goodwill payments are always recorded in the claims log and must be described to the customer as goodwill, not as an admission of liability.

7. Payment and closing

7.1 Paying the customer

Once the customer accepts our offer, we pay within 14 days, normally as a credit note against their account. Customers without an account are paid by bank transfer. New or changed bank details must

be checked by phone as set out in IT-01, section 6.3.

7.2 Damaged goods and salvage

Damaged goods are kept in the marked claims area at the depot for 14 days so that the customer or an insurer can inspect them. After that, the Customer Service Manager decides whether they are returned, sold for salvage or disposed of. Staff must never take damaged goods for their own use.

7.3 Learning from claims

Customer Service sends a monthly claims report to the Head of Operations showing the number and value of claims by depot, customer and cause. Repeated causes, such as the same loading method or the same route, are passed to the depot manager to fix.